

thing. The limit became apparent, however, when some alarming news, perhaps of the extent of the leverage itself, caused too many of the original depositors to want their money at the same time. All subsequent financial innovation has involved similar debt creation leveraged against more limited assets with only modifications in the earlier design. All crises have involved debt that, in one fashion or another, has become dangerously out of scale in relation to the underlying means of payment.

More often, even a semblance of innovation is absent. In the 1920s, as we shall see, great holding companies were created. The owners, that is to say the stockholders, issued bonds and preferred stock in order to buy other stocks. As the latter appreciated in value—for a while—all the increase accrued to the owners. This was proclaimed one of the financial miracles of that age. It was, in fact, leverage in, at most, a slightly different guise.

In the 1980s, in what came to be called the mergers-and-acquisitions mania, corporate raiders and their investment-banking acolytes issued bonds in great volume against the credit of the companies being taken over. Or the managements thus threatened similarly issued bonds to buy and retire the stock of their own companies and so retain control. It was, once again, a time of presumed innovation and adventure. In reality, this was again only the reappearance of leverage; not even the terminology was new.

The bonds so issued, it might be added, carried high interest rates that were meant to compensate for the risk incurred. For a time, this too was considered a major new discovery despite the rather adverse appellation accorded these financial instruments, namely junk bonds. Michael Milken of the investment house of Drexel Burnham Lambert, sponsor beyond equal of junk-bond issues, was hailed as an innovator in the field of finance. His income of \$550 million in 1987 was thought appropriate compensation for so inventive a figure, one of Edisonian stature. Mr. Milken's competence and superior diligence as a salesman, sometimes called promoter, is not in doubt, but the discovery that high-risk bonds leveraged on limited assets should have a higher interest rate hardly stands on a par as an invention with the electric light. Again the wheel, here in an especially fragile version.

The final and common feature of the speculative episode—in stock markets, real estate, art, or junk bonds—is what happens after the inevitable crash. This, invariably, will be a time of anger and recrimination and also of profoundly unsubtle introspection. The anger will fix upon the individuals who were previously most admired for their financial imagination and